come up with a nice round figure which is the price they are willing to pay for the particular stock.

Is this illogical? Is it financially dangerous? The answer to both questions is emphatically yes. It is dangerous because it puts the empha-sis on what does not particularly matter, and diverts attention from what does matter. This frequently causes investors to pass up a situation in which they would make big profits in order to go into one where the profits will be much smaller. To understand this we must see why the mental process is so illogical.

What makes the price at which a stock sells? It is the composite estimate *at that moment* of what all those interested think the corrective value of such shares may be. It is the composite appraisal of the outlook for this company by all potential buyers and sellers, weighted by the number of shares each buyer or seller is disposed to bid for or offer, in relation to a similar appraisal, at the same moment, of the outlook for other companies with their individual prospects. Occasionally, some-thing like forced liquidation will produce a moderate deviation from this figure. This happens when a large holder presses stock on the mar-ket for reasons—such as liquidating an estate or paying off a loan— which may not be directly related to the seller's view of the real value of the shares. However, such pressures usually cause only moderate vari-ation from the composite appraisal of the prevailing price of the shares, since bargain hunters normally step in to take advantage of the situation, which thereby adjusts itself.

The point which is of real significance is that the price is based on the *current* appraisal of the situation. As changes in the affairs of the com-pany become known, these appraisals become correspondingly more or less favorable. In relation to other stocks, these particular shares then move up or down. If the factors appraised were judged correctly, the stock becomes permanently more or less valuable in relation to other stocks. The shares then stay up or down. If more of these same factors continue to develop, they in turn are recognized by the financial community. The stock then goes and stays either further up or down, as the case may be.

Therefore, the price at which the stock sold four years ago may have little or no real relationship to the price at which it sells today. The company may have developed a host of able new executives, a series of new and highly